

With this, we have understood the important chart patterns that can be formed. Chart patterns are purely based on price and do not consider volume related data. Chart patterns are developed around the concept of support and resistance and the fact that bulls and bears will be found at those levels repeatedly. We try to take advantage of these patterns by identifying them and expecting them to repeat themselves.

Chart patterns are mostly used in trading to generate signals at the time of breakouts. Traders can also use the support and resistance levels in creative ways in their strategies. Spending time to identify these patterns is the key. The ability to read the charts and spot such patterns takes time and practice but once learned can be very rewarding.

